What the plant paid for in a year
Crew, supervision, equipment, and factory overhead

Standard costing	Actual absorption	Time-driven costing
Charged to products	**Charged to products**	**Charged to products**
Standard rate × standard hours of the output	In concept, all of the year's cost divided by the units made	Capacity cost rate × routing time used, plus factory overhead
Standard costing leaves out	**Actual absorption leaves out**	**Time-driven costing leaves out**
Variance: everything else, which Charles River charges to cost of goods sold as each work order closes	**Nothing left over**: idle time is spread into the cost of every unit	**Unused capacity**: reported as a cost of the plant, not of the products
Good for control while the rates are current	*Unit cost rises whenever volume falls. This case can only approximate it*	*Separates what products use from what sits idle*